

so lucrative!” Unwilling to cannibalize those revenues, Nokia missed the shift toward smartphones.

These four stories—Cisco, Apple, BlackBerry, and Nokia—are stark reminders that investors give the media way too much credit for “knowing” the future.

The point is not that a few journalists made incorrect calls about the future of companies. The point isn’t even that magazine covers are a contrary investment indicator. There are better, more useful lessons here.

What can we learn from these breathless cover stories that were so expensively incorrect?

This too, shall pass

Throughout history, companies have crashed and burned from great success. Advantages achieved may not be long-lasting; the skills that led to greatness may not be the same as what it takes to maintain those advantages. Sometimes, the world simply changes before a firm recognizes it. It’s easy to assume dominant companies will remain that way. Not just BlackBerry and Nokia, but Lucent and Northern Telecom were key players in the 1990s; all soon faded. Think IBM, GE, Sears, K-Mart, GM... the list is endless. Only 12 Dow Industrial components out of 30 from 1996 remain in the average today.

Which of today’s dominant companies will eventually suffer the same fate?

We fail to evaluate the content we consume

Everything you read, listen to, or watch must be analyzed for its integrity and accuracy. Every piece of information needs to be seen on its own merits and those of its author and/or publisher. Investors cannot simply accept or reject something because it’s in a magazine or on television. *Never assume a source is right or wrong without knowing its track record.*